**Funds managed by New Forests – Forestry plantations of AKD**

MN - 85053

# Phase 1 Determination

## Acquisition may be put into effect

10 November 2026

# 1. Determination and statement of reasons

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| **Notified acquisition** | New Forests Australia New Zealand Landscapes and Forestry Fund (**ANZLAFF**) via the Trust Company Limited as trustee of ANZLAFF Sub 1 and the Trust Company Limited as trustee of ANZLAFF Sub 4 (**New Forests ANZLAFF**) propose to acquire the forestry plantation assets of Associated Kiln Driers Pty. Limited (**AKD**) and Heywood Plantations Pty Ltd (together, the **AKD Estate**) (the **Acquisition**). |
| **Determination** | The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the C*ompetition and Consumer Act 2010* (Cth) that the Acquisition may be put into effect. |
| **Parties to the Acquisition** | The acquirer, New Forests ANZLAFF, are managed by New Forests Asset Management Pty Limited (**New Forests Asset Management**), which is a wholly owned subsidiary of New Forests Pty Limited (**New Forests**). New Forests is a global investment manager of nature-based real assets including timber plantations, conservation areas, carbon and conservation finance projects, agriculture, timber processing and infrastructure.<br><br>New Forests Asset Management also manages the New Forests Australia New Zealand Forest Fund (**ANZFF**), which currently holds minority interests in two softwood log plantation estates, Penola Plantations and FIT Estate, within the Green Triangle forestry region (the **Green Triangle**), located between south-east SA and south-west Vic. This is a separate fund from ANZLAFF.<br><br>ANZFF also holds a 100% interest in a sawmilling business at Tarpeena, South Australia located within the Green Triangle. This sawmill sources a majority of its logs from the Green Triangle.<br><br>The target, AKD, is an integrated Australian softwood forestry and timber processing company with softwood sawmilling operations. The AKD Estate consists of approximately 10,933 hectares of softwood log plantations across four regions:<br>• The Green Triangle<br>• Central Vic (Ballarat and Otway)<br>• Southern NSW and North-east Vic (Murray Valley)<br>• Central NSW (Central Tablelands)<br><br>The Acquisition does not include AKD's sawmills.<br><br>Upon completion of the Acquisition, New Forests and AKD (the **Parties**) will enter into long-term supply agreements under which New Forests ANZLAFF will supply sawlogs and pulpwood from the AKD Estate to AKD. |
| **Overlap and relationship between the Parties** | The Parties overlap in the supply of softwood logs in the Green Triangle. There is no overlap or resulting aggregation in the other regions.<br><br>AKD operates a sawmill in Colac, Victoria and ANZFF holds a 100% interest in a sawmill in Tarpeena. Both sawmills source softwood logs from the Green Triangle. AKD is retaining its Colac sawmill, so there is no aggregation in sawmills resulting from the Acquisition. |

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| **Reasons for determination** | When making a determination in Phase 1, the Australian Competition and Consumer Commission (**ACCC**) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the *Competition and Consumer Act 2010* (Cth) (the **Act**). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers.<br><br>For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's merger assessment guidelines and interim merger process guidelines.<br><br>In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form, information from third parties, market share data from prior matters and publicly available information.<br><br>The ACCC has determined that the Acquisition may be put into effect as it considers that the Acquisition would be unlikely to have the effect of substantially lessening competition in any market. In reaching its decision, and based on the material before it, the ACCC makes the following findings:<br><br>• The market share aggregation resulting from the Acquisition is low.<br><br>• New Forests would likely continue to face competition from alternative suppliers of softwood logs in the Green Triangle.<br><br>• New Forests would be unlikely to have the ability and incentive to foreclose rival sawmills' access to softwood logs as:<br><br>  ○ the Parties will enter into long-term supply agreements for sawlogs and pulplogs to AKD's sawmill post-Acquisition; and<br><br>  ○ there are a number of alternative growers of softwood logs in the Green Triangle with excess supply of softwood logs relative to sawmill processing capacity. |
| **Applications for review** | A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal. |

**Determination made by Commissioner Woodward pursuant to a delegation under section 25(1) of the Act**